

Procure Space ETF

SPCX NASDAQ

Buy

\$119.08 ▲ 3.98%

12M Price Target
\$145.00

52-Week Range
\$107.01 – \$225.64

Market Cap
\$1.57T

SPCX: Space ETF Rips as SpaceX Earnings Hype Builds

WHAT HAPPENED

- SPCX popped ~4% to \$119 — the catalyst is obvious: SpaceX is dropping its FIRST-EVER earnings report today, and Musk is doing a Tesla-style "let investors ask questions" call. That's a huge deal because SpaceX is the gravitational center of the entire space economy, and SPCX holds the publicly-traded names that orbit around it (Rocket Lab, Iridium, Planet Labs, etc.).
- Bigger tape is helping too — S&P and Dow at record highs on US-Iran de-escalation ("Hormuz hopes" = tankers moving freely through the Strait of Hormuz means oil stays calm, risk-on mood). Tech ETF +3.6% on the day gave SPCX a rising-tide boost.

WHY IT MATTERS

Here's the key inference: SpaceX going public-ish with earnings is a re-rating event for the WHOLE space sector. When the biggest private player shows real profitability, every other space name gets valued off that comp — and SPCX is the cleanest way to play the entire basket without picking winners. But watch the setup carefully: the stock is only at 10% of its 52-week range (\$107-\$225), meaning it got absolutely crushed earlier this year and is just starting to claw back. That tells me sentiment was in the gutter and today's move is early-innings recovery, not late-stage euphoria. The bearish options flow (put/call at 1.30) suggests traders are still hedging — if SpaceX earnings surprise to the upside tonight, those puts get unwound and you get a squeeze.

POLICY & POLITICAL WATCH

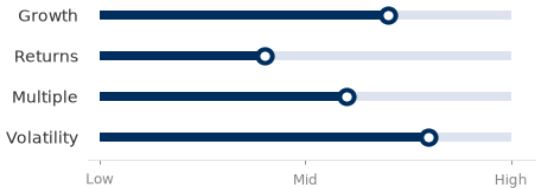
The big policy tailwind is the FY2026 defense authorization — Space Force budget is expected to grow ~13% with heavy allocation to proliferated LEO (low earth orbit) constellations and Golden Dome-style missile defense architecture. That's direct revenue for SPCX holdings like Rocket Lab, Iridium, and Planet. Watch for the FCC's ongoing spectrum reallocation debate too — if more spectrum opens up for commercial satellite broadband, it's a green light for the Starlink competitors in the ETF. Wildcard: any escalation on China export controls for satellite components could cut both ways (protects US players, but pinches supply chains).

IS IT EXPENSIVE?

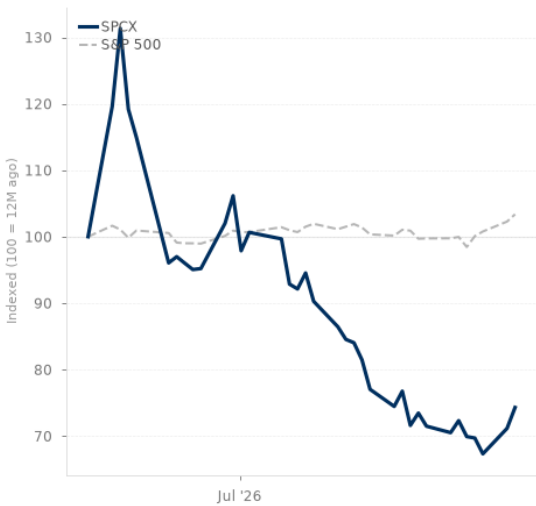
Key Data

Price (USD)	\$119.08
12M Price Target	\$145.00
Upside / (Downside)	+21.8%
Market Cap	\$1.57T
FY2026E Revenue	\$693M
FY2027E Revenue	\$940M
FY2026E EPS	(\$2.10)
FY2027E EPS	(\$1.50)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$135.00	\$125.00	\$110.00
6 Months	\$160.00	\$140.00	\$105.00
1 Year	\$200.00	\$150.00	\$100.00
2 Years	\$260.00	\$180.00	\$90.00
5 Years	\$400.00	\$260.00	\$80.00
10 Years	\$700.00	\$420.00	\$70.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+3.6% today, +7.8% for the week) is on fire on AI + Iran de-escalation; space is riding that coattail plus its own SpaceX-specific catalyst.

COOLING OFF: Consumer Discretionary and Comm Services fading — money is leaving "consumer story" names as rate-cut hopes cool.

ROTATION WATCH: Money is rotating into hard-tech and defense-adjacent names. The Palantir surge mentioned in headlines is the same story — anything with government contract exposure + tech DNA is getting bid.

RELATED PLAY: If SPCX runs, the picks-and-shovels are companies making satellite components and ground stations — think Kratos (KTOS) and Aerospace/defense primes like LMT and NOC that build launch vehicles and payloads.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): The most direct SpaceX comparable in public markets — benefits from every positive datapoint on launch economics
- PLTR (Palantir): Not in SPCX but the "government tech" theme is the same trade — surging today on the same policy tailwind

SPCX CONTEXT: SPCX is leading the space theme today but LAGGING the broader tech rally on a 5-day basis — that gap could close if SpaceX earnings deliver, giving the ETF room to catch up.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Cautiously bullish. The setup is good (beaten down + real catalyst + policy tailwind) but I want to see SpaceX numbers before pounding the table.

POSITION SIZE: 2-4% of portfolio — this is a thematic bet, not a core holding, and the ETF is thinly held so size accordingly.

ENTRY POINTS: Ideally \$112-115 on any pullback post-SpaceX earnings; if the number is a clean beat, chase reluctantly up to \$125.

TIME HORIZON: 12-24 months — you're playing the transition from "space is speculative" to "space is a real sector with real earnings."

WHEN TO BAIL: If SpaceX guidance implies profitability slips past 2027, or if the Space Force budget gets cut in reconciliation by more than 5%, I'm trimming hard.

HEDGING: Simplest hedge — pair SPCX with a small short on QQQ (Nasdaq ETF) so if the whole market rolls over, you're only exposed to the space-specific thesis, not general tech risk.